CHAPTER L-09

LIFE INSURANCE CLAIMS

Chapter Introduction

This chapter explains the concept of claim and how claims are ascertained. The chapter then explains the types of claims. In the end you will learn about the forms to be submitted for a death claim and the safeguards in place to protect a beneficiary from claim rejection by the insurer, provided no material information has been suppressed by the insured.

Learning Outcomes

A. Types of claims and claims procedure
B. Ascertaining whether a claim situation has occurred
C. Claims Procedure for Life Insurance Policies

A. Types of claims and claims procedure

Concept of claims

The real test of an insurance company and an insurance policy comes when a policy results into a claim. The true value of life insurance is judged by the way a claim is settled and benefits are paid.

IRDAI's Protection of Policyholders' Interests Regulations, 2017 prescribes that life insurers, shall process death claims without delay and call for all requirements together, within 15 days of the receipt of the death intimation.

A death claim shall be paid, rejected or repudiated giving all the relevant reasons, within 30 days from the date of receipt of all relevant papers/ clarifications.

If, in the opinion of the insurer, the claim warrants investigation, it shall complete the same expeditiously, within 90 days from the date of intimation and settle the claim within 30 days thereafter.

IRDAI specifies that in respect of Maturity clams, Survival Benefit claims and Annuities, the Life Insurer shall initiate the claim process by sending advance intimation, by sending post-dated cheque or by giving direct credit to the bank account of the claimant through any electronic mode approved by RBI, so as to pay the claim on or before the due date.

Definition

A claim is a demand that the insurer should make good the promise specified in the contract.

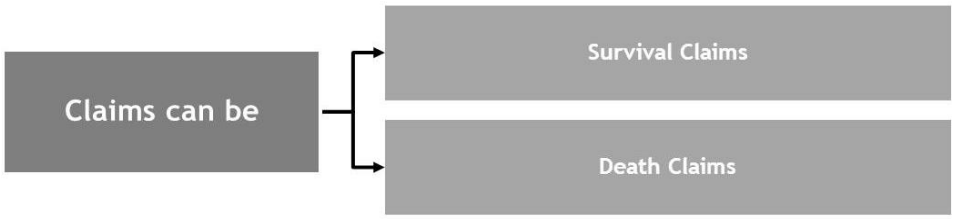
A claim under a life insurance contract is triggered by the happening of one or more of the events covered under the insurance contract. While in some claims, the contract continues, in others, the contract is terminated.

Claims can be of two types:

i. survival claims payable when the life assured is alive and

ii. death claim

Diagram 1: Types of claims



While a **death claim** arises only upon the death of the life assured, **survival claims** are payable on happening of events specified in the policy.

Important

In all claims situations, the insurer has to ensure that the identity of the claimant is proven and well documented as per KYC norms.

Example

Such specified events where the claims are paid to the insured.

i. The insured reaching the maturity period of the policy;
ii. The insured reaching the pre-decided duration(s) under a money-back policy, when instalment(s) become payable; or under annuity plans.
iii. Occurrences of Critical illnesses covered under the policy (as a rider benefit or otherwise);
iv. Surrender of the policy either by the policyholder or assignee;

B. Ascertaining whether a claim situation has occurred

i. Survival claim is payable to the insured on reaching the period of maturity or fulfilling conditions stipulated in the policy.

ii. Maturity claims and money-back instalment claims are easily established as they are based on dates which are determined at the beginning of the contract itself. For instance, the date of maturity and the dates when the instalments of survival benefits may be paid under a money back policy are clearly laid out at the time of preparing the contract.

iii. Surrender value payments are different from other claim payments. Here, unlike other claims, the event is triggered by the decision of the policy holder or assignee to cancel the contract and withdraw what is due to him or her under the contract. There is typically a penalty for premature withdrawal. The amount paid would be less than what would be due under a full claim and hence would be less than what would have been due if the full claim were to be paid.

iv. Critical illness claims are ascertained based on the medical and other records provided by the policyholder in support of his claim.

v. Annuities: In case of annuity payments (pension plans), insured need to provide life certificates periodically.

The purpose of a critical illness benefit is to enable a policy holder to defray his/her expenses in the event of a critical illness. If this policy were to be assigned, all the benefits would be payable to the assignee and it would not meet the intended purpose of the critical illness benefit. To avoid this situation, policy holders need to be educated about the extent of benefits they may assign by way of a conditional assignment.

A **maturity or death claim** or a surrender leads to termination of the insurance cover under the contract and no further insurance cover is available.

Types of claims: The following payments may occur during the policy term:

a) **Survival Benefit Payments**

Periodical payments are made by the insurer to the insured at specified times during the term of the policy.

I. **Surrender of Policy**

Surrender value reflects the value of investments and depends on various factors such as sum assured, bonuses, policy term and premiums paid. Premature closing of a life insurance policy is a voluntary termination of the policy contract. A policy can be surrendered only if it has acquired paid-up value. The amount payable to the insured is the **surrender value** which is usually a percentage of the premiums paid. The actual surrender value paid to the insured is more than the Guaranteed Surrender Value (GSV).

II. **Rider Benefit**

A payment under a rider is made by an insurance company on the occurrence of a specified event according to the terms and conditions.

Under a **critical illness rider**, in the event of diagnosis of a critical illness, a specified amount is paid as per terms. The illness should have been covered in the list of critical illnesses specified by the insurance company.

Under **hospital care rider**, the insurer pays the treatment costs in the event of hospitalisation of the insured, subject to terms and conditions.

The policy contract continues even after the rider payments are made.

The following claim payments are made at the end of the policy term specified in the insurance contract.

III. **Maturity Claim**

In such claims, the insurer promises to pay the insured a specified amount at the end of the term, if the insured survives the plan's entire term. This is known as a **maturity claim.**

i. **Participating Plan:** The maturity claim amount payable under a participating plan is the sum assured plus accumulated bonuses less dues such as outstanding premium and policy loans and interests thereon.

ii. **Return of Premium (ROP) Plan:** In some cases premiums paid over the term period are returned when the policy matures.

iii. **Unit Linked Insurance Plan (ULIP):** In case of ULIPs, the insurer pays the fund value as the maturity claim.

iv. **Money-back Plan:** In case of money-back policy, the insurer pays the maturity claim minus the survival benefits already paid during the term of the policy.

The insurance contact terminates after the claim is paid.

b) **Death Claim**

If the insured expires during the term of his/ her policy, accidentally or otherwise, the insurer pays the sum assured plus accumulated bonuses, if participating, less dues to be recovered by the insurer [like outstanding policy loan and interest or premiums plus interest]. This is the **death claim**, which is

paid to the nominee or assignee or legal heir whatever the situation may be. A death claim generally marks the end of the contract as a result of death.

A death claim may be:

- ✓ Early (less than three years policy duration) or
- ✓ Non-early (more than three years)

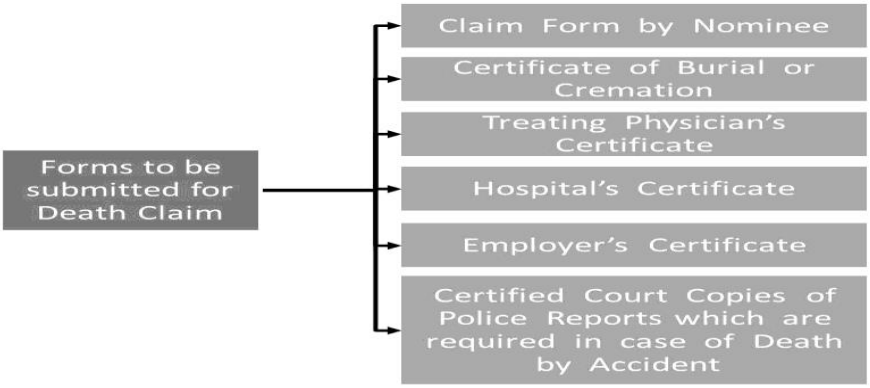
The nominee or assignee or legal heir has to intimate the insurer of the cause, date and place of death.

i. Forms to be submitted for death claim

Usually, the following forms are to be submitted by the beneficiary to the insurer to facilitate processing of the claim:

- ✓ Claim form by nominee
- ✓ Certificate of burial or cremation
- ✓ Treating physician's certificate
- ✓ Hospital's certificate
- ✓ Employer's certificate
- ✓ Death certificate issued by municipal authorities etc., as proof of death
- ✓ Certified court copies of police reports like First Information Report (FIR), Inquest Report, Post-Mortem Report, and Final Report - these reports are required in case of death by accident.

Diagram 2: Forms to be submitted for Death Claim



ii. Repudiation of death claim

The death claim may be paid or repudiated. If, while processing the claim, the insurer detects that the proposer had made any incorrect statements or had suppressed material facts relevant to the policy, the contract would be declared as void. All benefits under the policy are forfeited.

iii. Section 45: Indisputability Clause

However this penalty is subject to **Section 45** of the Insurance Act, 1938.

Important

Section 45 states:

"No policy of life insurance shall be called in question on any ground whatsoever after the expiry of three years from the date of the policy, i.e. from the date of issuance of the policy or the date of commencement of risk or the date of revival of the policy or the date of the rider to the policy, whichever is later".

C. Claim Procedure for Life Insurance Policy

Although there is no laid down standard claims procedure for all insurers, the IRDAI has laid down guidelines for insurers in the matter of claim settlement.

Regulation 8: Claims procedure in respect of a life insurance policy

i. A life insurance policy shall state the **primary documents** which are normally required to be submitted by a claimant in support of a claim.

ii. A life insurance company, upon receiving a claim, shall process the claim without delay. Any queries or requirement of additional documents, to the extent possible, shall be raised all at once and not in a piece-meal manner, within a period of 15 days of the receipt of the claim.

iii. As per the IRDAI (Protection of Policyholders' Interests) Regulations, 2017, a death claim under a life insurance policy shall be paid, rejected or repudiated giving all the relevant reasons, within 30 days from the date of receipt of all relevant papers and required clarifications. However, if the insurer needs the claim to be investigated, it shall initiate and complete the investigation at the earliest, in any case not later than 90 days from the date of receipt of claim intimation. The claim should be settled within 30 days of completing the investigation.

iv. Where a claim is ready for payment but the payment cannot be made due to any reasons of proper identification of the payee, the life insurer shall hold the amount for the benefit of the payee and it shall earn interest at the rate applicable to a savings bank account with a scheduled bank (effective from 30 days following the submission of all papers and information).

v. Where there is a delay on the part of the insurer in processing a claim for a reason other than the one covered by sub-regulation (iv), the life insurance company shall pay **interest on the claim amount at a rate which is 2% above the bank rate** prevalent at the beginning of the financial year in which the claim is reviewed by it.

Role of an agent

An agent shall render all possible service to the nominee/ legal heir or the beneficiary in filling up of claim forms accurately and assisting in submission of these at the insurer's office.

Apart from discharging obligations, goodwill is generated from such a situation whereby there exists ample opportunity for the agent to procure business or referrals in future from the family of the deceased.

Test Yourself 1

Which of the below statement best describes the concept of claim? Choose the most appropriate option.

I. A claim is a request that the insurer should make good the promise specified in the contract
II. A claim is a demand that the insurer should make good the promise specified in the contract
III. A claim is a demand that the insured should make good the commitment specified in the agreement
IV. A claim is a request that the insured should make good the promise specified in the agreement

Summary

- A claim is a demand that the insurer should make good the promise specified in the contract.
- A claim can be survival claim or death claim. While a death claim arises only upon the death of the life assured, survival claims can be caused by one or more events
- For payment of a survival claim, the insurer has to ascertain that the event has occurred as per the conditions stipulated in the policy.
- The following payments may occur during the policy term:
  - ✓ Survival Benefit Payments
  - ✓ Surrender of Policy
  - ✓ Rider Benefit
  - ✓ Maturity Claim
  - ✓ Death Claim
- Section 45 (Indisputability Clause) of the Insurance Act offers protection against rejection of claim by the insurer on flimsy grounds provided and sets a time limit of 3 years for the Insurer for calling a policy into question.
- Under the IRDAI (Protection of Policyholders Interests) Regulations, 2017, the IRDAI has laid down regulations to safeguard/ protect the insured or beneficiary in case of claims.

Answers to Test Yourself

Answer 1 The correct option is II.